

3.2.3 The economic climate on businesses

Content	Additional information
• Interest rates: • how fluctuating interest rates can affect businesses that rely on overdrafts and loans for finance • how fluctuating interest rates can affect consumer and business spending. • Level of employment • Consumer spending	Students should be able to demonstrate and understand how businesses might be affected by changes in the rate of interest. Students should be able to identify how and why businesses might be affected by changes in levels of employment. Students should be able to discuss how demand for products and services may change as incomes fluctuate. Economic theory relating to how/why interest rates change is not required.